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Strategic Trading Analysis

Step 1: Audit the Data

- **Data Present:** Comprehensive multi-timeframe price charts (Daily, Weekly, 15-min), Moving Averages (20, 50, 200 EMAs), Relative Strength (RS) analysis, Bollinger Bands, Supertrend, MACD, RSI, Volume analysis with distribution/accumulation days, Candlestick classification, and foundational fundamental/analyst data.
- **Data Missing:** Options Open Interest (OI) or derivatives data (which could help identify support/resistance walls), specific sector-level macroeconomic catalysts explaining the recent structural breakdown.
- **Confidence Level: High**. The provided report is exhaustive. It perfectly blends multi-timeframe technical indicators with volume analysis and fundamental snapshots, providing more than enough empirical data to evaluate a positional swing trade.

Step 2: Analyze the Setup

- **Price Structure & Trend:** ITC has suffered a severe structural breakdown, plummeting from the INR 400+ region down to the INR 300-INR 310 range. The stock is in a confirmed **Strong Downtrend**. Price is currently trading below the 20, 50, and 200 EMAs on both the daily and weekly timeframes.
- **Momentum & Oscillators:** The MACD is bearish (-4.50) and RSI is weak (36.15). Candlestick analysis indicates that sellers remain in control (Trend Score: -0.10, frequent recent distribution days).
- **Confluence & Reversal Signs:** Despite the dominant bearishness, there are early signs of bottoming. The 1D Supertrend has triggered an UPTREND (Buy) at 306.16. A bullish MACD divergence was detected on March 6th, and RS analysis shows a "Turnaround Detected" signal (1M RS > 3M RS). Furthermore, Bollinger Band width and ATR are contracting, indicating a volatility squeeze that precedes a directional expansion.
- **Conclusion of Setup:** The stock is deeply oversold and fundamentally undervalued according to analyst estimates, making it an attractive turnaround candidate. However, entering right now constitutes "catching a falling knife." A risk-averse positional trader requires structural confirmation that overhead supply has been absorbed before committing capital.

Step 3: Formulate the Recommendation

Based on the current technical damage and overhead resistance, the recommendation is **NO**-do not enter this stock immediately at current levels. Wait for price action to confirm a trend reversal.

Here is the conditional plan to capture a 5%-15% positional move:

- **Condition to Buy:** Wait for a daily candle close above the 20-day EMA (currently at 318.59) accompanied by above-average volume. This will confirm the recent bullish divergences and validate that buyers have regained short-term control from the sellers.
- **Entry Price:** INR 320.00 (Hypothetical trigger upon clearing the 20 EMA).
- **Stop Loss:** INR 304.50 (Hypothetical risk level placed just beneath the current Daily Supertrend support of 306.16 and recent swing lows. A break below this invalidates the turnaround thesis).
- **Take Profit:** INR 350.00 (Hypothetical target. This represents an approximate 9%-10% upside, testing the next major resistance cluster where the 50-day EMA and historical breakdown gaps converge).

Candlestick Classification Analysis

As a seasoned Candlestick and Price Action Trader, I have reviewed the **Candlestick Classification Summary (Page 20)** and the **Price/Volume Chart (Page 21)** for ITC.NS.

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Applying the robust 5-step classification algorithm provided, here is my professional interpretation of the market structure, recent price action, and future price prediction.

1. Macro Market Structure: The Institutional Shift

Looking at the chart on Page 21, the absolute defining feature of this stock's current narrative is the massive structural breakdown that occurred in mid-January 2026.

- **The Breakdown Candle (Dark Red):** We see a catastrophic drop characterized by a single, massive dark red candle. According to our algorithm, this triggered a **Seller Strong Control (-2)** classification.
  - *Algorithm check:* The body size was exceptionally large relative to the ATR (Base Score: -2). It closed at the absolute lows (Close Position Adjustment confirmed the bears). Wicks were negligible. Most importantly, looking at the bottom panel, **the volume on this day was astronomical** (likely >3x average). The volume multiplier maxed out the bearish signal.
- **Interpretation:** This is textbook institutional liquidation. When a stock suffers a "Seller Strong Control" event on climax volume, it completely breaks the preceding market structure. The overhead supply (bag holders) created on this day will act as a massive ceiling for months.

2. Recent Price Action & Micro Analysis

Following the massive drop, we need to look at how the market reacted to gauge future direction. The recovery attempt has been virtually non-existent.

- **Current State:** The summary (Page 20) notes the Latest Classification is **Seller Control (-1)**, and the Recent Trend Score (10-day avg) is **-0.10**. This confirms a persistent, bleeding downtrend.
- **The "Dead" Bounces (Light Green vs. Light Red):** In the weeks following the January crash, any bullish attempts (Light Green: Buyer Control, +1) have been shallow and quickly engulfed by subsequent Light Red (Seller Control, -1) and Grey (No Control, 0) candles.
- **Algorithm check on recent action:** The high frequency of **"No Control" (Grey)** candles (116 out of the total dataset) in the recent consolidation phase indicates weak bodies (<0.5 ATR) and low relative volume. When buyers try to step in, they lack the volume multiplier to achieve a "+2 Buyer Strong Control" rating. They are printing long upper wicks (Step 3: bearish adjustment) and failing to close near the highs (Step 2: downgrade), showing zero conviction.

3. Volume Profile Integration

Our algorithm explicitly states: *"Price without volume is half the story."* Since the massive volume capitulation in January, the volume bars have remained relatively flat and unexceptional. The lack of high-volume accumulation (tall green volume bars paired with large green candle bodies) means institutional buyers have **not** stepped back in to support the stock at these lower prices (around INR 309).

Trader's Prediction & Future Price Direction

Prediction: BEARISH CONTINUATION / DOWNWARD DRIFT

Based on the candlestick classification algorithm, **the future price is heavily favored to the downside.**

Why?1. **Trend Momentum:** The bears are in complete control. The 10-day average score is negative, meaning sellers are consistently winning the daily closes.2. **Lack of Reversal Signatures:** To predict a

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bottom or a reversal, our algorithm demands to see a **Buyer Strong Control (+2)** candle-a large bullish body, closing near the high, with small upper wicks, validated by a massive volume spike (>1.3x average). Looking at Page 21, *there is absolutely no sign of this*. 3. **Path of Least Resistance:** The current price action is a "bear flag" or a bearish consolidation. The grey (indecision) and light red (seller control) candles show that price is heavy. Without new buyer volume, gravity will pull this stock lower.

Actionable Conclusion: Do not attempt to catch a falling knife here. The algorithm clearly shows that sellers dictate the terms, and buyers are only able to mount weak, low-volume counter-attacks. Until the algorithm registers a high-volume "+2 Buyer Strong Control" classification to signal institutional accumulation, the expectation is that **price will continue to break lower or, at best, drift sideways to lower.**

News & Analyst Targets

As a stock research analyst, here is the latest intelligence and research desk update on ITC Ltd. (NSE: ITC) for the week ending March 8, 2026.

The stock has been under severe pressure since the beginning of the year and is currently hovering around the INR 309-INR 312 mark. Below is a detailed breakdown of the recent developments, rating actions, broader impacts, and price targets.

1) Latest News for ITC This Week

- **Fresh 52-Week Lows & Technical Weakness:** ITC shares have faced sustained selling pressure, briefly hitting a new 52-week low of INR 300.10 on March 2, 2026, before finding mild support. The stock is currently trading below all key moving averages (5, 20, 50, 100, and 200-day), shedding nearly 24% over the last six months.
- **Heavy Derivatives Activity:** Despite the bearish momentum, derivative markets showed a massive spike in Call Option activity at the INR 350 strike price expiring on March 30, 2026. Open interest suggests a mix of speculative trading and bargain-hunting by investors betting on a near-term bounce.
- **Supreme Court Ruling on Hotel Liability:** On February 6, 2026 (with written judgments circulating in early March), the Supreme Court provided major relief to ITC Hotels. The court reduced a controversial INR 2 crore compensation award given to a consumer for a "faulty haircut" at the Maurya Sheraton down to INR 25 lakh. This sets a strong precedent capping corporate liability for unquantified consumer damages.
- **Index Rebalancing Risks:** Analysts have warned that ITC's sustained underperformance could trigger weight rebalancing in the Nifty 50 index during upcoming reviews, which could mildly impact passive fund inflows.

2) Brokerage Upgrades & Downgrades

The overarching theme for ITC in Q1 2026 has been a **wave of severe downgrades** triggered by the government's massive and unexpected hike in cigarette taxes earlier this year. * **Nomura** downgraded the stock aggressively from *Buy* to *Reduce*, slashing valuation multiples for the cigarette division due to anticipated volume contraction. * **Macquarie** downgraded the stock from *Buy* to *Neutral*, citing poor earnings visibility and regulatory overhang.* **Motilal Oswal** and **JP Morgan** both downgraded the stock from *Buy* to *Neutral*. Motilal Oswal noted that the tax hikes were unprecedented and recently adjusted their target down

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again to INR 365 in early March.* **Nuvama** downgraded ITC to *Hold* from *Buy*, expecting FY27 volume and EBITDA declines. * **Kotak Institutional Equities** and **Emkay Global** both moved to *Reduce* ratings, warning of near-term de-rating as ITC prioritizes volume protection over profit margins.* **CLSA** is one of the few to retain an *Outperform* rating but drastically slashed its target price to reflect the new taxation reality.

3) Direct and Indirect News Impacting ITC

- **The February 2026 Tax Shock (Direct):** The overarching catalyst hurting the stock is the Central Excise (Amendment) Bill, 2025/2026, which implemented a permanent excise duty over the 40% GST. This increased the overall tax burden on cigarettes by a staggering 40-50%.
- **Staggered Price Hikes & Margin Squeeze (Direct):** To combat the taxes, ITC implemented a blended 25% price hike across its cigarette portfolio. However, analysts estimate ITC needed a ~33-35% hike to fully protect its EBIT margins. ITC deliberately chose to absorb some costs to protect sales volume.
- **Rising Competition (Indirect):** ITC is facing stiff competition in the RSFT (Regular Size Filter Tipped) segment from Godfrey Phillips (makers of Marlboro). ITC specifically waited for Godfrey Phillips to announce a price hike before matching it, signaling hyper-sensitivity to losing market share.
- **Raw Material Inflation (Indirect):** Profitability is further being squeezed by highly inflationary leaf tobacco prices, which had already contracted cigarette EBIT margins by ~100 bps in previous quarters.
- **New Hospitality Taxes (Indirect):** Adding a slight headwind to the ITC Hotels division, the government recently introduced an 18% GST on luxury dining bills exceeding INR 7,500, which threatens to impact revenue streams at high-end food and beverage establishments.
- **Illicit Trade Risks (Indirect):** With legal cigarettes now 15-20% more expensive at the retail level, the industry fears a significant resurgence of illicit and grey-market cigarette trade, structurally threatening organized sector volumes.

4) Latest Analyst & Brokerage Targets

The consensus target price has fallen dramatically from the INR 450-INR 500+ ranges seen in late 2025 down to the INR 330-INR 415 range today.

Brokerage / Firm	Current Rating	Latest Target Price (INR)	Key Rationale / Notes
Nuvama	Hold	415	Lowered tobacco valuation multiple to 17x forward earnings.
Centrum	Neutral	390	Reset valuation based on near-term tax hurdles.
JP Morgan	Neutral	375	Cut from INR 475; warned of pressure on multiples for the next 6-9 months.
CLSA	Outperform	367	Cut from INR 485; expects a recovery to normalize by FY28.
Motilal Oswal	Neutral	365	Cut heavily from earlier peaks; cites higher taxes fueling illicit trade.
Emkay Global	Reduce	350	Cut from Add; expects payout per stick to rise by 50%.

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Brokerage / Firm	Current Rating	Latest Target Price (INR)	Key Rationale / Notes
Nomura	Reduce	340	Cut from INR 540; expects a 15% YoY decline in FY27 sales volume.
Kotak Inst. Equities	Reduce	338	Highlighted ITC's deliberate trade-off sacrificing margin for volume.
Macquarie	Neutral	330	Slashed by 34%; raised concerns over medium-term earnings visibility.

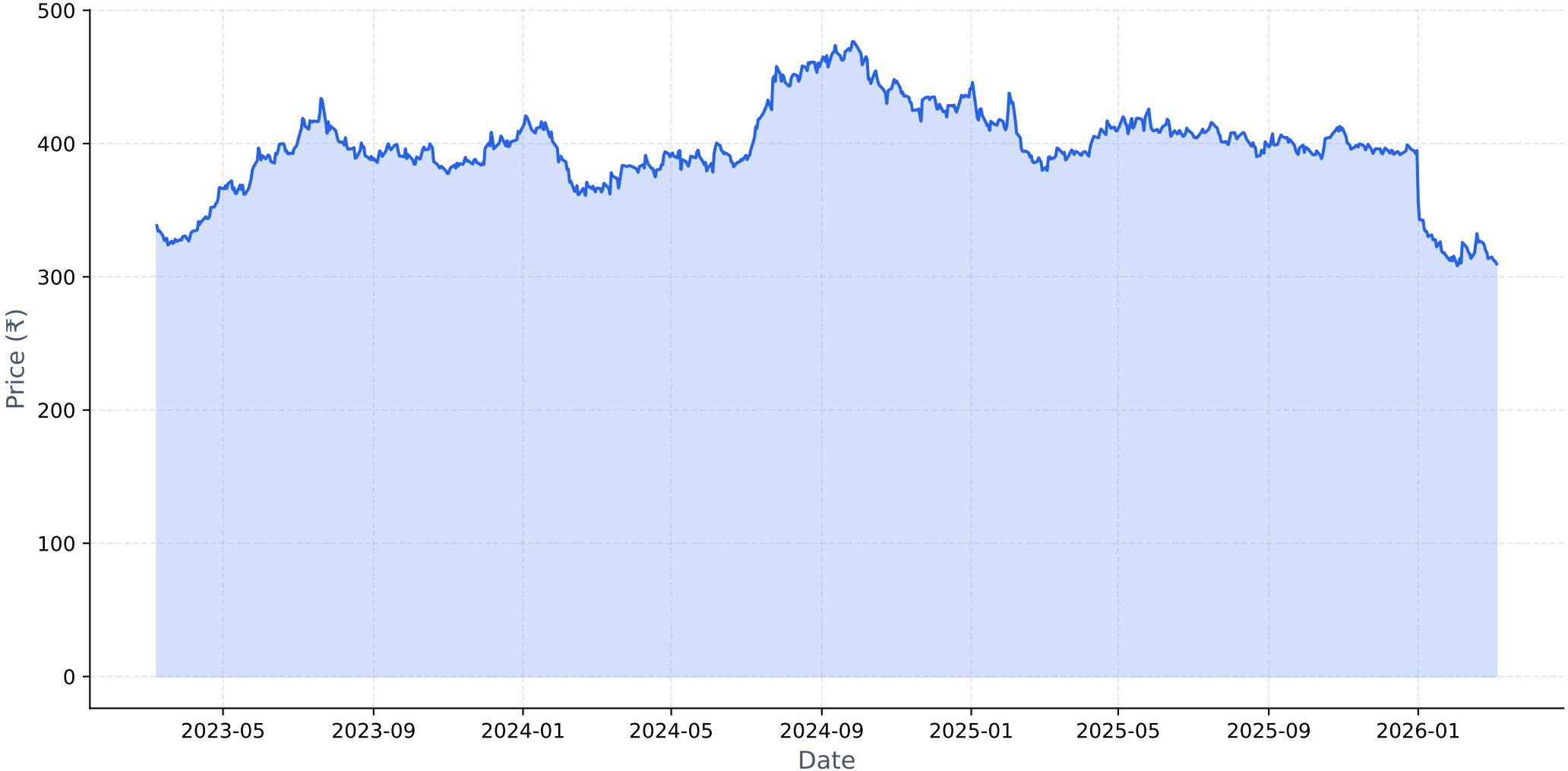
Stock Detailed Analysis Report

ITC.NS

Current Price: ₹309.70

Generated: 2026-03-07 11:21

ITC.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	Yes	10.78%	7.51%
Net Income	Yes	Yes	69.84%	31.61%
ROE	Yes	Yes	80.69%	26.68%
EPS	Yes	Yes	69.24%	30.97%

Short-term Fundamental Analysis (6 Quarters)

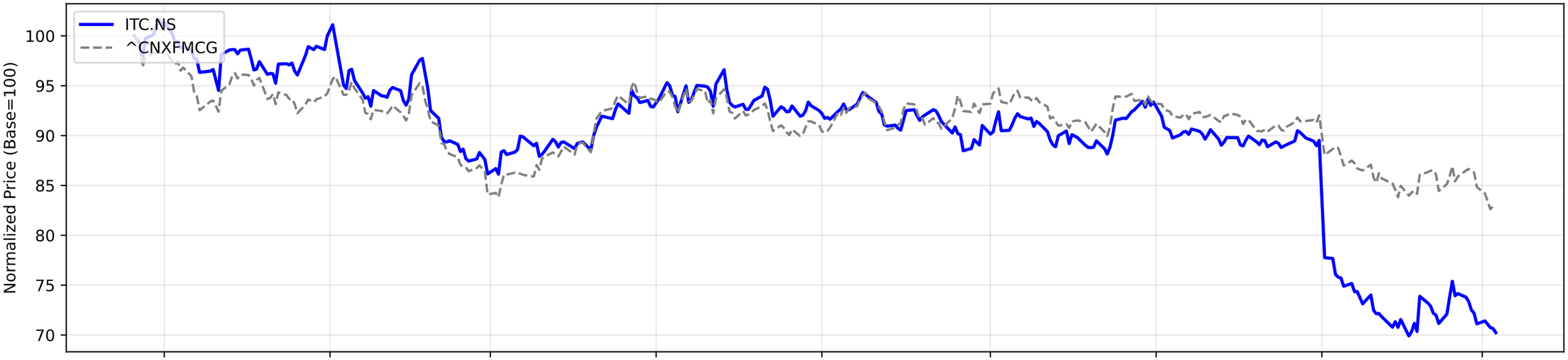
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	-6.81%	0.47%
Net Income	Yes	-5.97%	54.80%
ROE	Yes	324.65%	324.65%
EPS	No	-5.97%	-3.06%

ITC.NS - Relative Strength Analysis

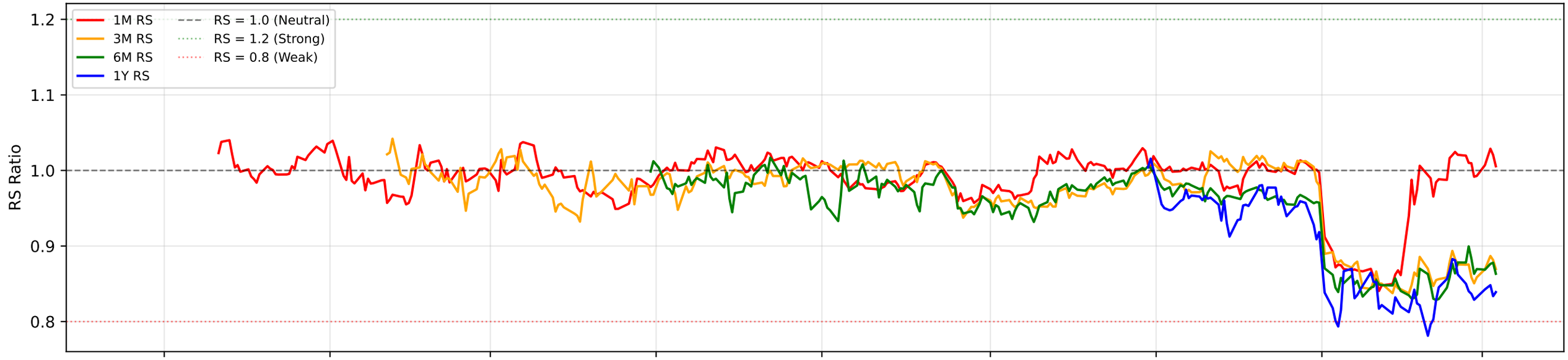
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXFMCG
Sector:	FMCG
Classification:	**Emerging Leader**
RS Score:	45.2/100
:	
═══ RS RATIOS ═══:	
1M RS:	**1.006 [Leader]**
3M RS:	**0.870 [Neutral]**
6M RS:	**0.863 [Neutral]**
1Y RS:	**0.839 [Neutral]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**!! DETECTED !!**
:	
SIGNAL CRITERIA::	
✓ **Emerging RS:**	1M (1.006) > 3M (0.870)
✓ **Medium-term Lagging:**	6M=0.863, 1Y=0.839 (≤1.0)
✓ **Performance Improving:**	3M (-21.1%) > 6M (-22.3%)

Relative Strength Analysis: ITC.NS vs ^CNXFMCG
Classification: Emerging Leader

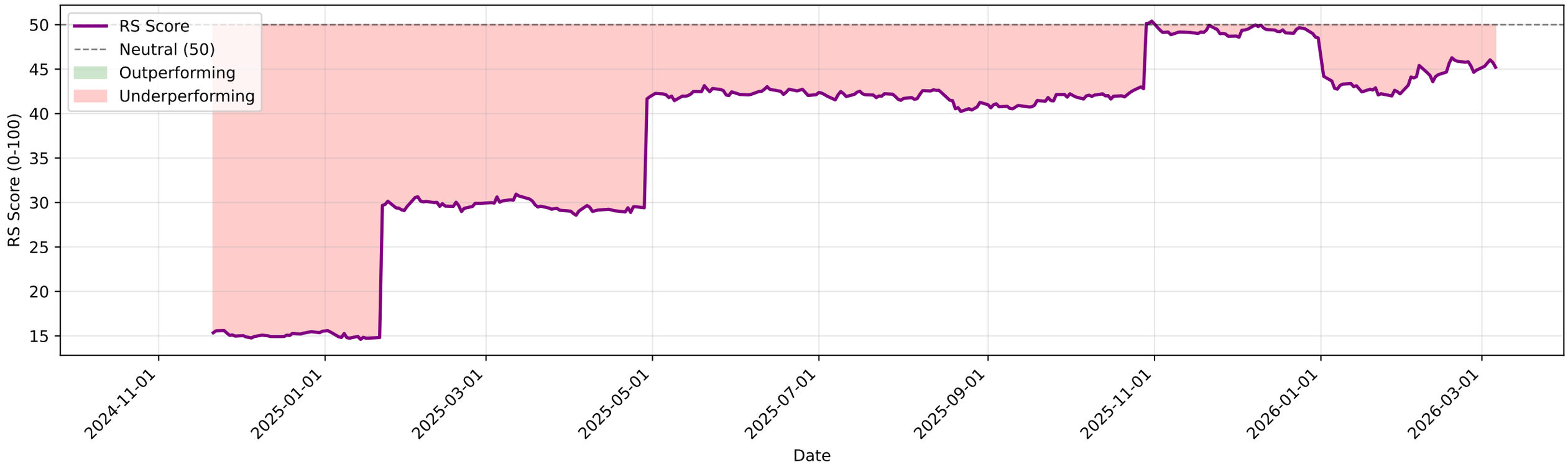
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

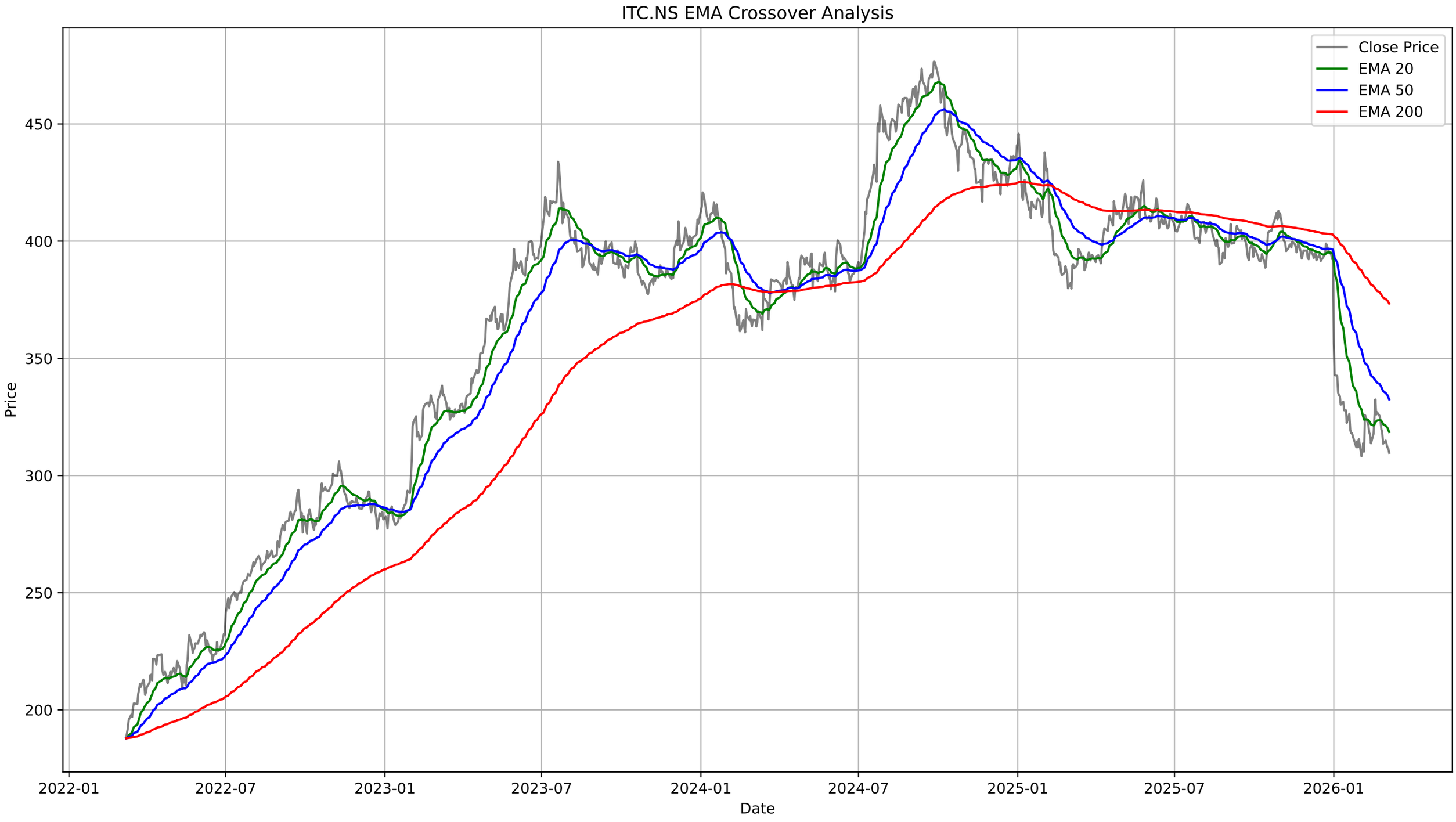


RS Composite Score Timeline



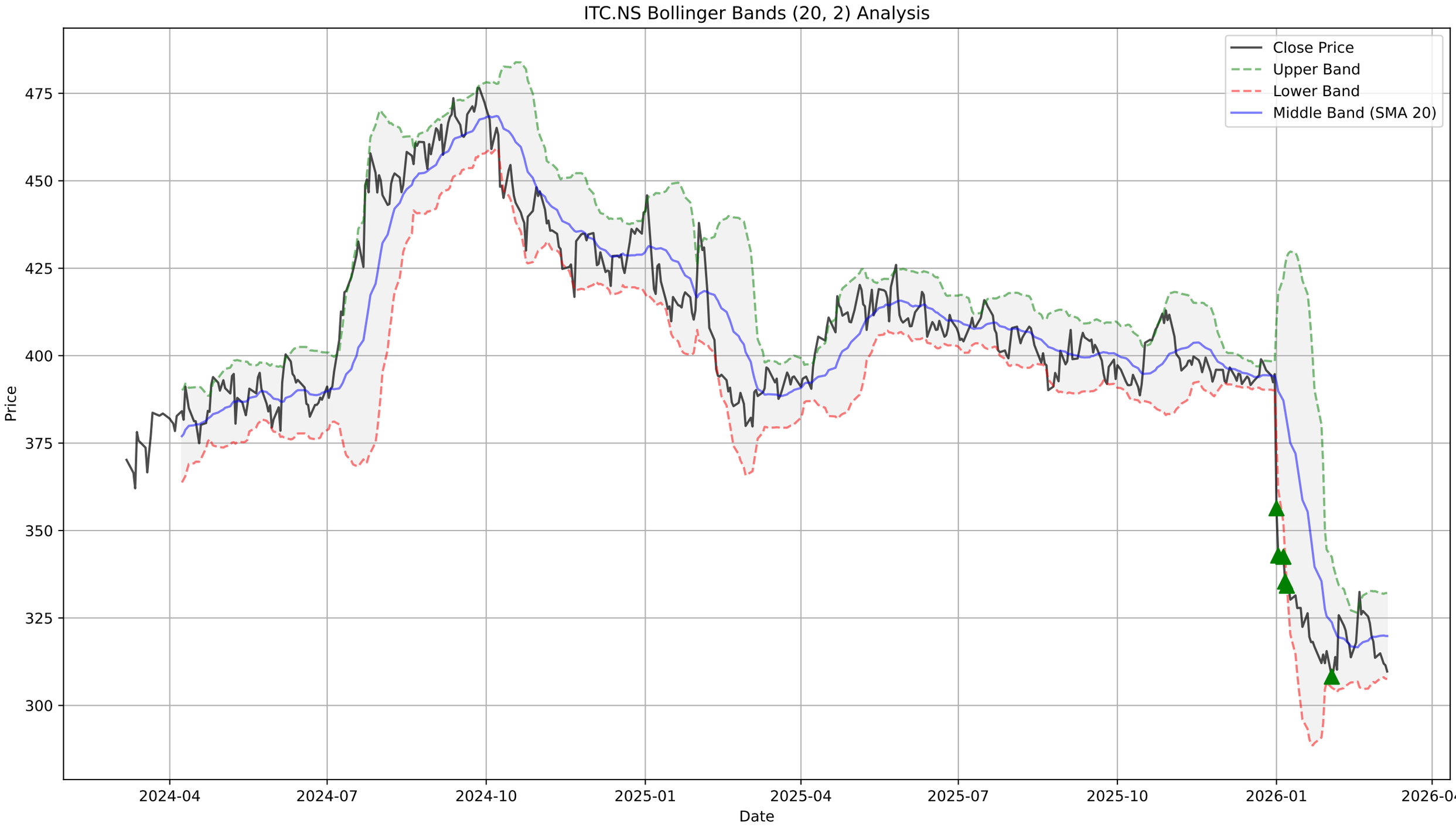
ITC.NS - EMA Crossover Summary

EMA 20:	318.59
EMA 50:	332.48
EMA 200:	373.39
Trend Status:	**Strong Downtrend**


ITC.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Price
450
400
350
300
250
200
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

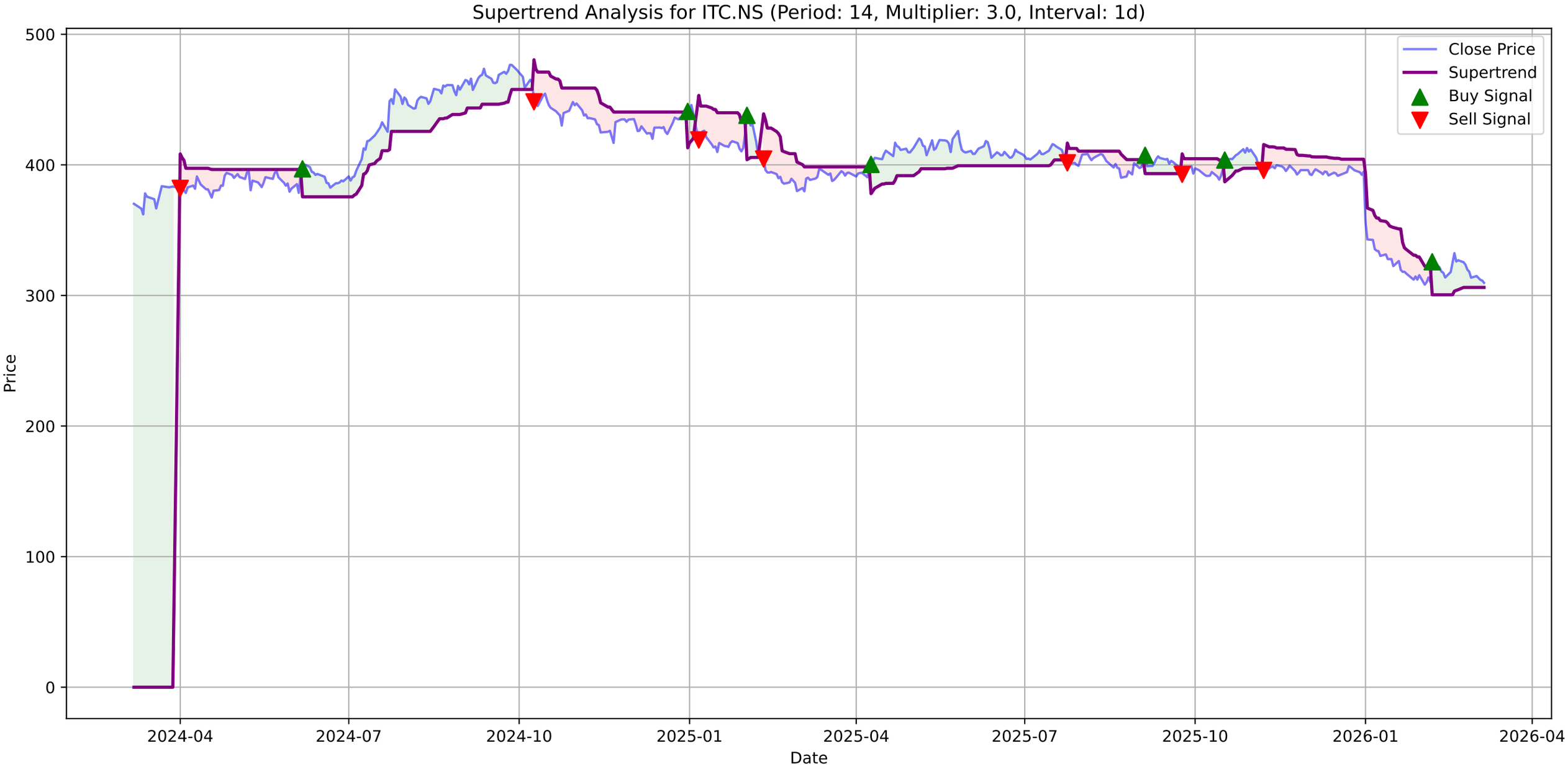
ITC.NS - Bollinger Bands Summary

Current Price:	309.70
Upper Band:	332.16
Middle Band (SMA 20):	319.85
Lower Band:	307.53
%B:	0.0880
Band Width:	0.0770
Status:	Lower Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-01-06 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-01-07 00:00:00+05:30**
Recent Signal 3:	**Buy Signal at 2026-02-02 00:00:00+05:30**


ITC.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
475
450
425
400
375
350
325
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Date

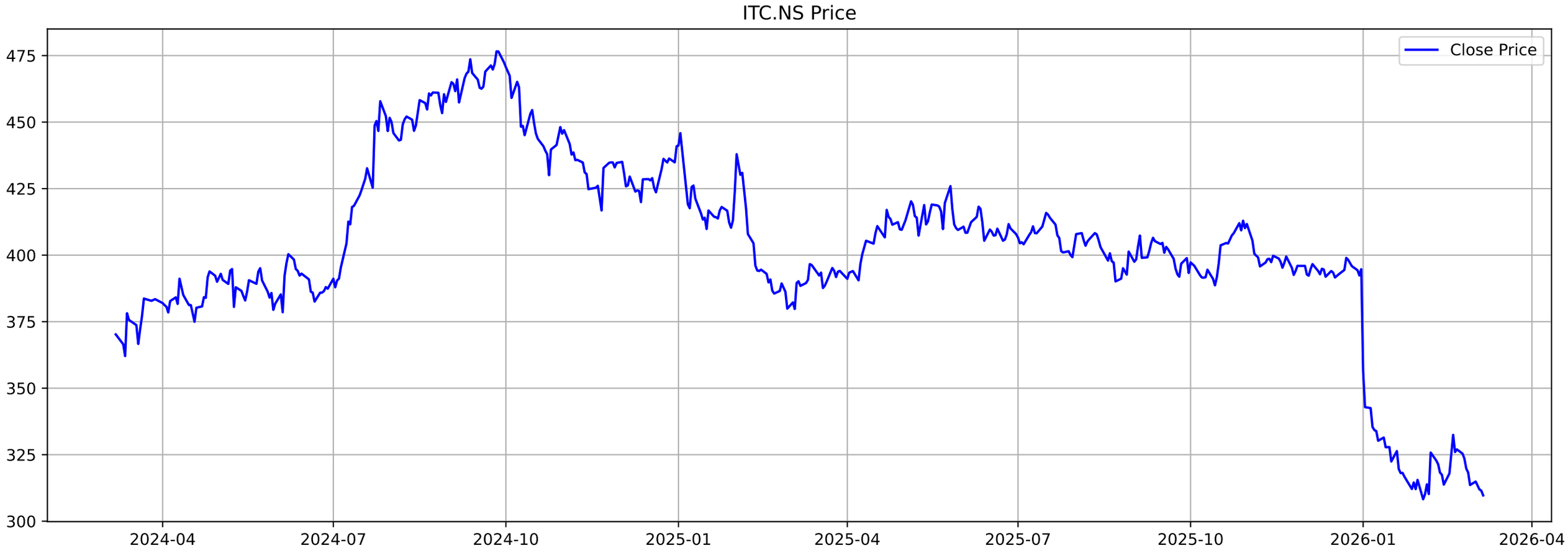
ITC.NS - Supertrend Summary

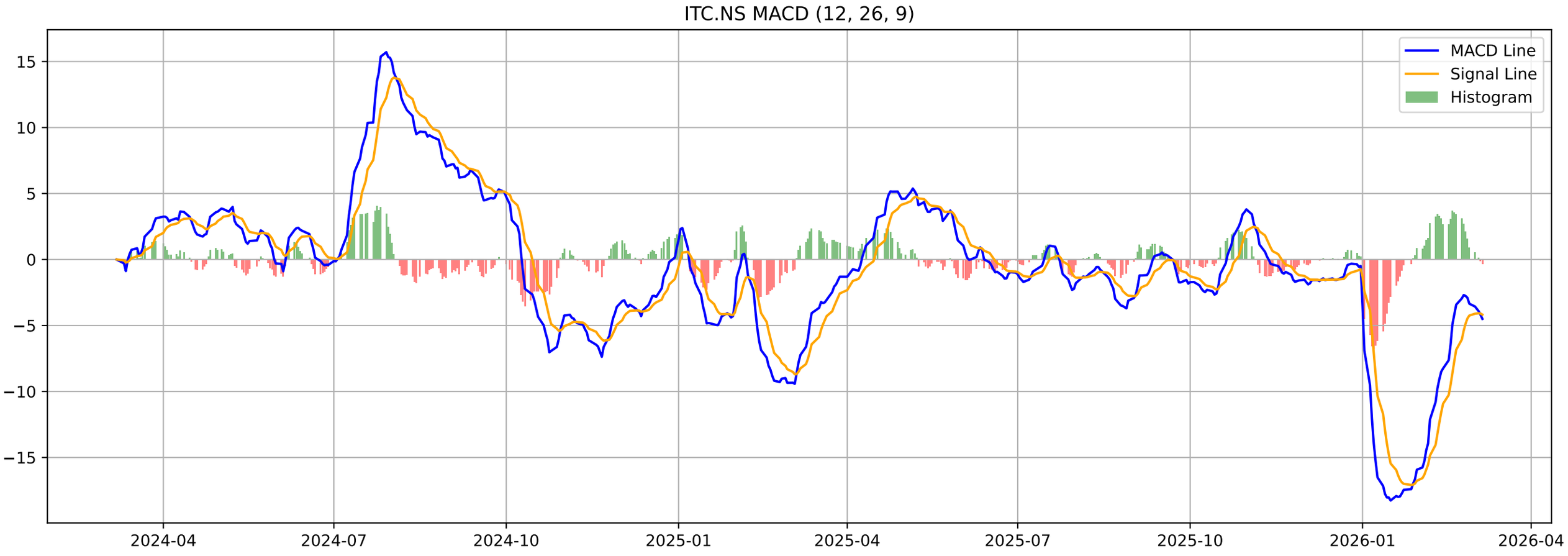
Status:	**UPTREND (Buy)**
Supertrend Value:	306.16
Signal Identified On:	2026-02-06


Supertrend Analysis for ITC.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
500
400
300
200
100
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

ITC.NS - MACD Summary

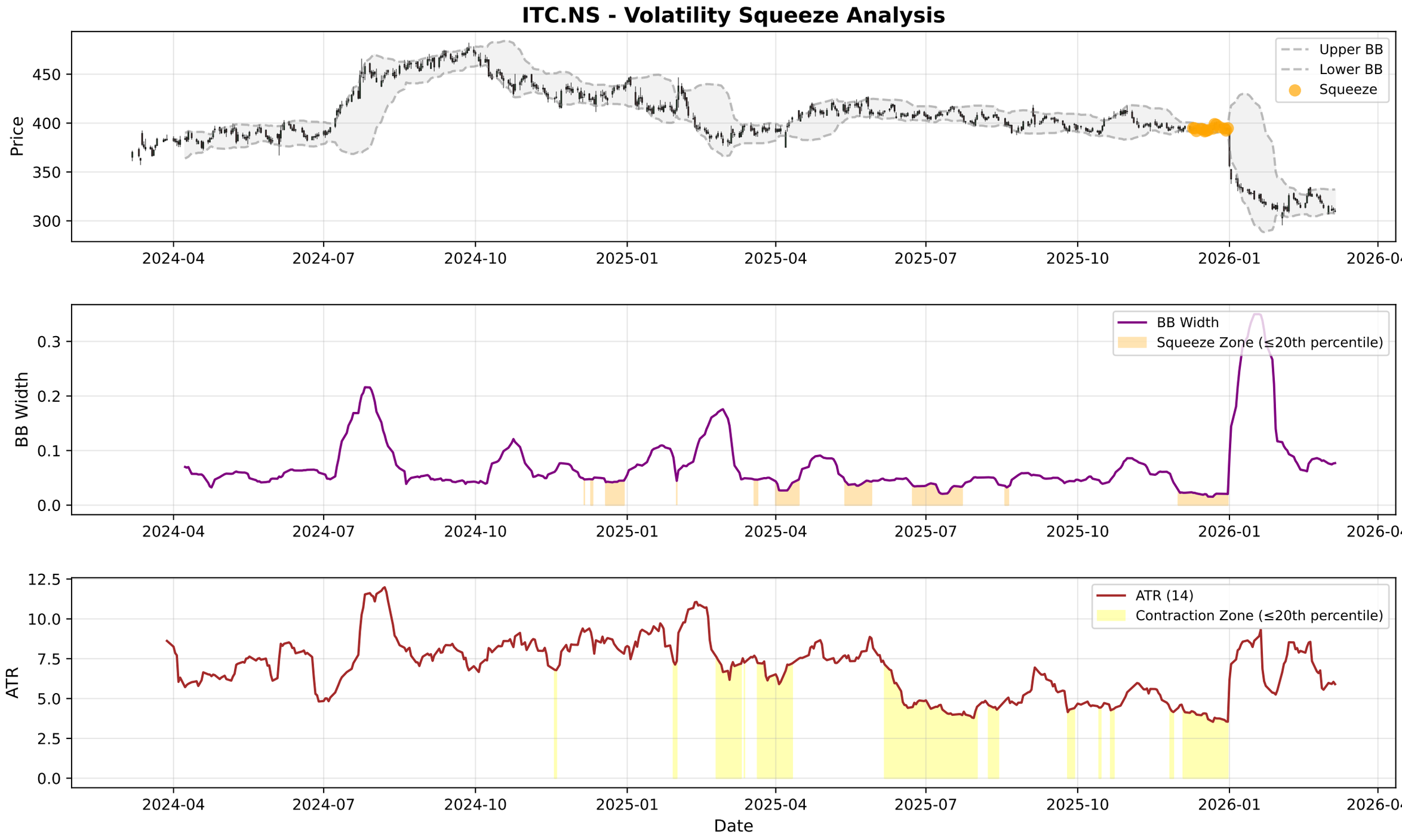
MACD Line:	-4.50
Signal Line:	-4.18
Histogram:	-0.33
Trend:	**Bearish**
Momentum:	**Strengthening**
Signal:	None
Divergences Detected:	1
└ **Bullish Divergence:**	Date: 2026-03-06 00:00:00+05:30, Price: 309.70


ITC.NS Price
Close Price
475
450
425
400
375
350
325
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04


ITC.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
15
10
5
0
−5
−10
−15
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

ITC.NS - Volatility Squeeze Summary

BB Width:	0.0770
ATR:	5.9036
Total Signals:	15
Signal 1:	BB Squeeze + ATR Contraction at 2025-12-24 00:00:00+05:30 (Pr
Signal 2:	BB Squeeze + ATR Contraction at 2025-12-26 00:00:00+05:30 (Pr
Signal 3:	BB Squeeze + ATR Contraction at 2025-12-29 00:00:00+05:30 (Pr
Signal 4:	BB Squeeze + ATR Contraction at 2025-12-30 00:00:00+05:30 (Pr
Signal 5:	BB Squeeze + ATR Contraction at 2025-12-31 00:00:00+05:30 (Pr


ITC.NS - Volatility Squeeze Analysis
Price
Upper BB
Lower BB
Squeeze
BB Width
BB Width
Squeeze Zone (≤20th percentile)
ATR
ATR (14)
Contraction Zone (≤20th percentile)
Date
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

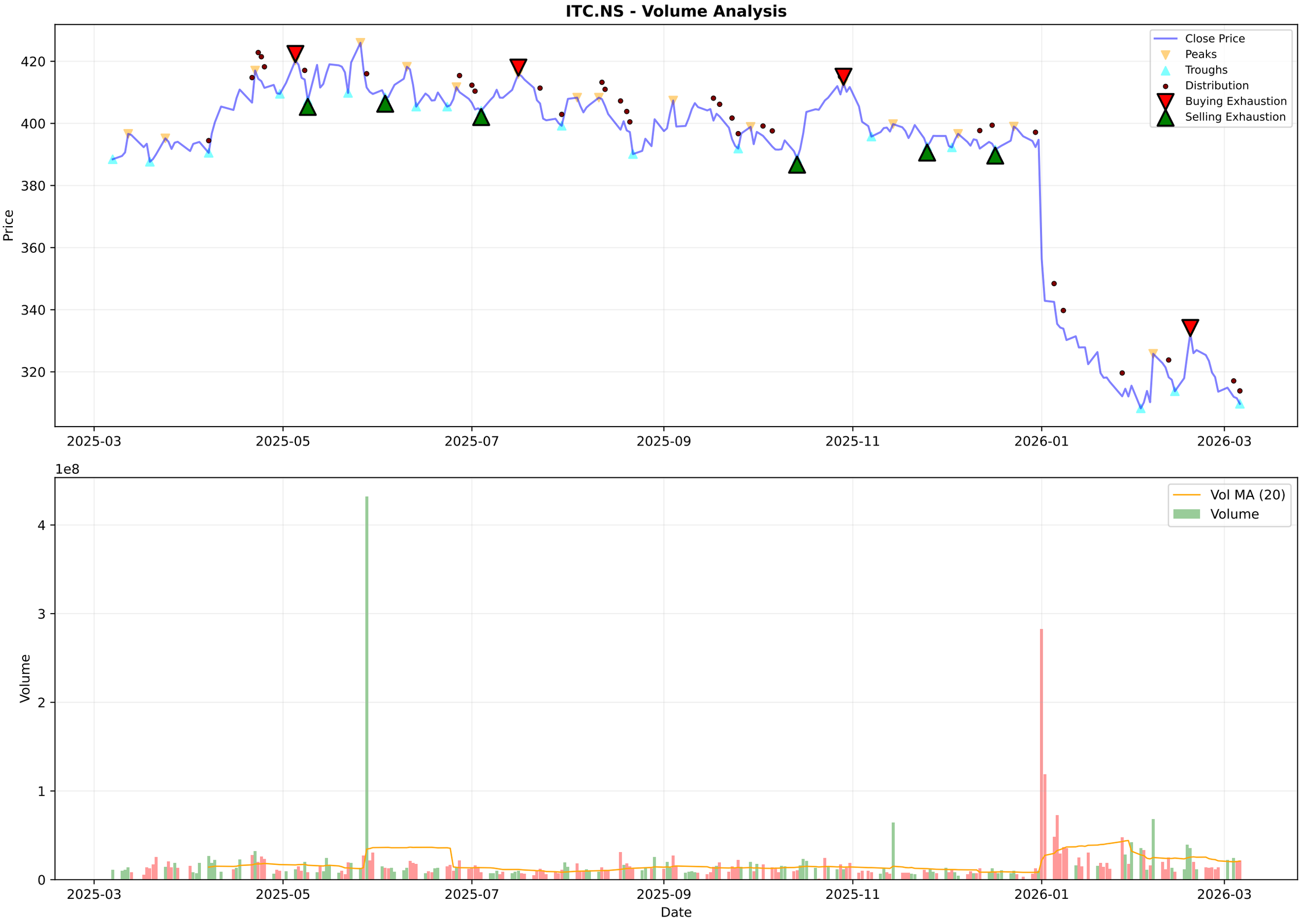
ITC.NS - RSI-Volume Summary

Current RSI:	36.15
Current Volume:	21288269
Volume MA 20:	20852942
Bullish Divergences:	2
Bearish Divergences:	5
Bullish Div 1:	Date: 2025-10-14 00:00:00+05:30, Price: 388.65
Bullish Div 2:	Date: 2025-12-17 00:00:00+05:30, Price: 391.59
Bearish Div 1:	Date: 2024-09-26 00:00:00+05:30, Price: 476.59
Bearish Div 2:	Date: 2025-05-05 00:00:00+05:30, Price: 420.24

ITC.NS RSI-Volume Divergence Analysis
Price
475
450
425
400
375
350
325
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e8
Volume
4
3
2
1
0
Volume MA-20
Volume MA-50
Date

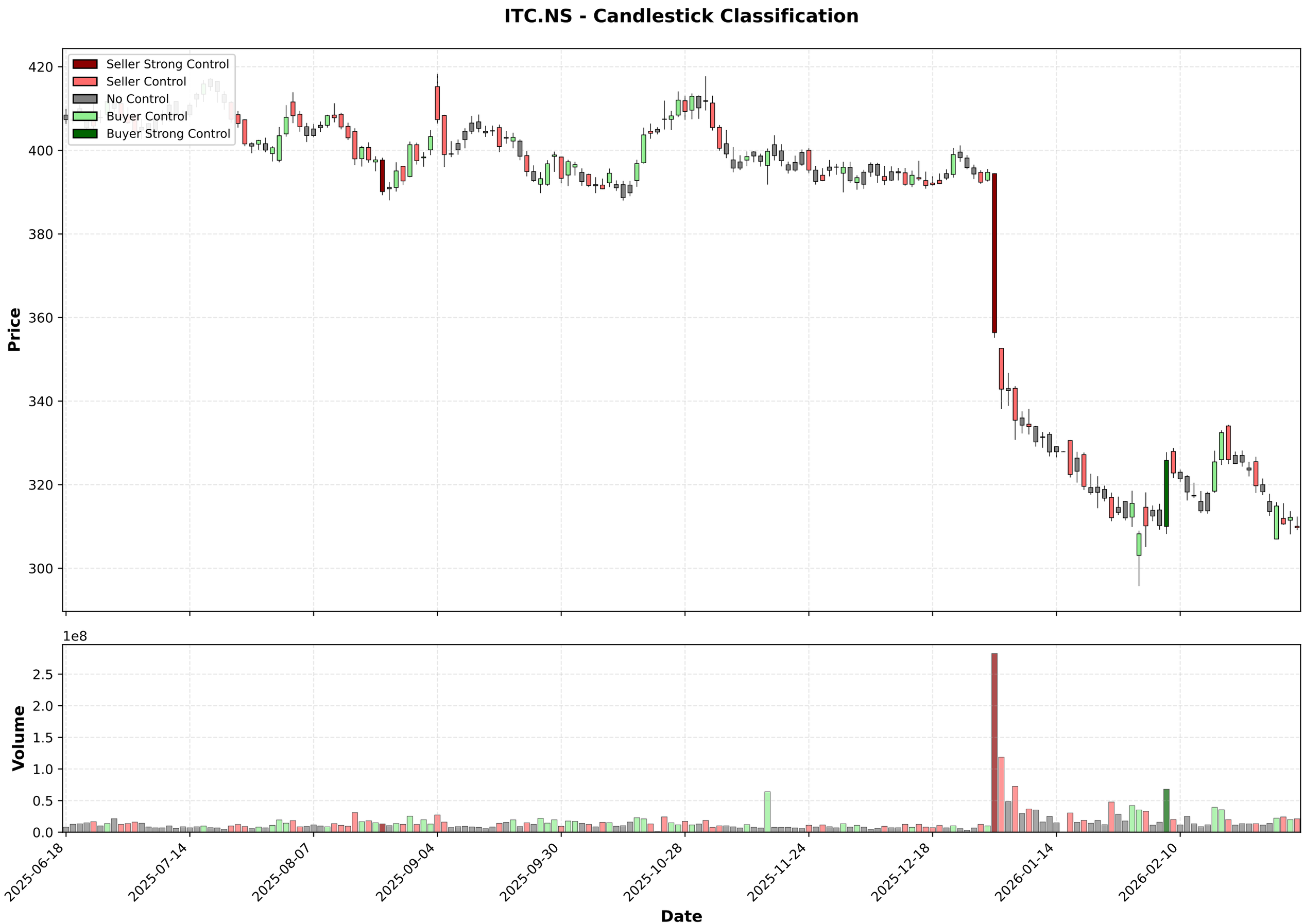
ITC.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**43 Signals Detected**
:	
2026-01-27 [-]:	Distribution Day
2026-02-11 [-]:	Distribution Day
2026-02-18 [+]:	**Buying Exhaustion (Bearish Div)**
2026-03-04 [-]:	Distribution Day
2026-03-06 [-]:	Distribution Day


ITC.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Buying Exhaustion
Selling Exhaustion
Price
420
400
380
360
340
320
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e8
Vol MA (20)
Volume
Volume
4
3
2
1
0
Date

ITC.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**Seller Control**
Recent Trend Score (10-day avg):	-0.10
:	
Distribution:	
No Control:	116
Seller Control:	58
Buyer Control:	50
Buyer Strong Control:	2
Seller Strong Control:	2


ITC.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
420
400
380
360
340
320
300
1e8
Volume
2.5
2.0
1.5
1.0
0.5
0.0
2025-06-18
2025-07-14
2025-08-07
2025-09-04
2025-09-30
2025-10-28
2025-11-24
2025-12-18
2026-01-14
2026-02-10
Date

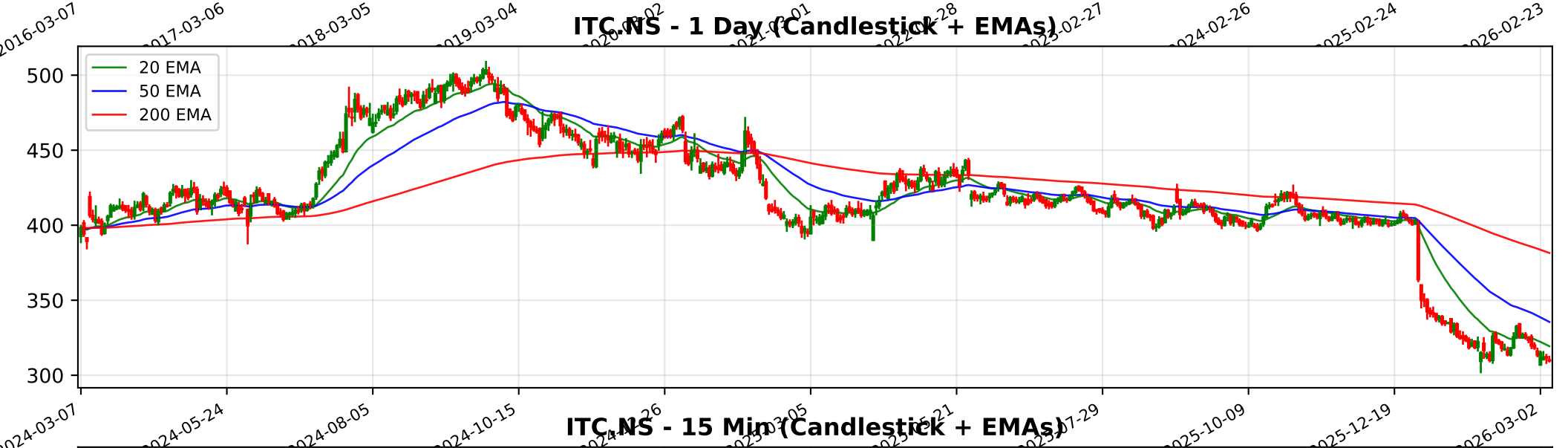
Multi-Timeframe Supertrend Analysis

Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	345.42	309.7	2024-10-07
1 Day	**UPTREND (Buy)**	306.8	309.7	2026-02-18
15 Min	**UPTREND (Buy)**	308.91	309.95	2026-03-05

Multi-Timeframe MACD Analysis

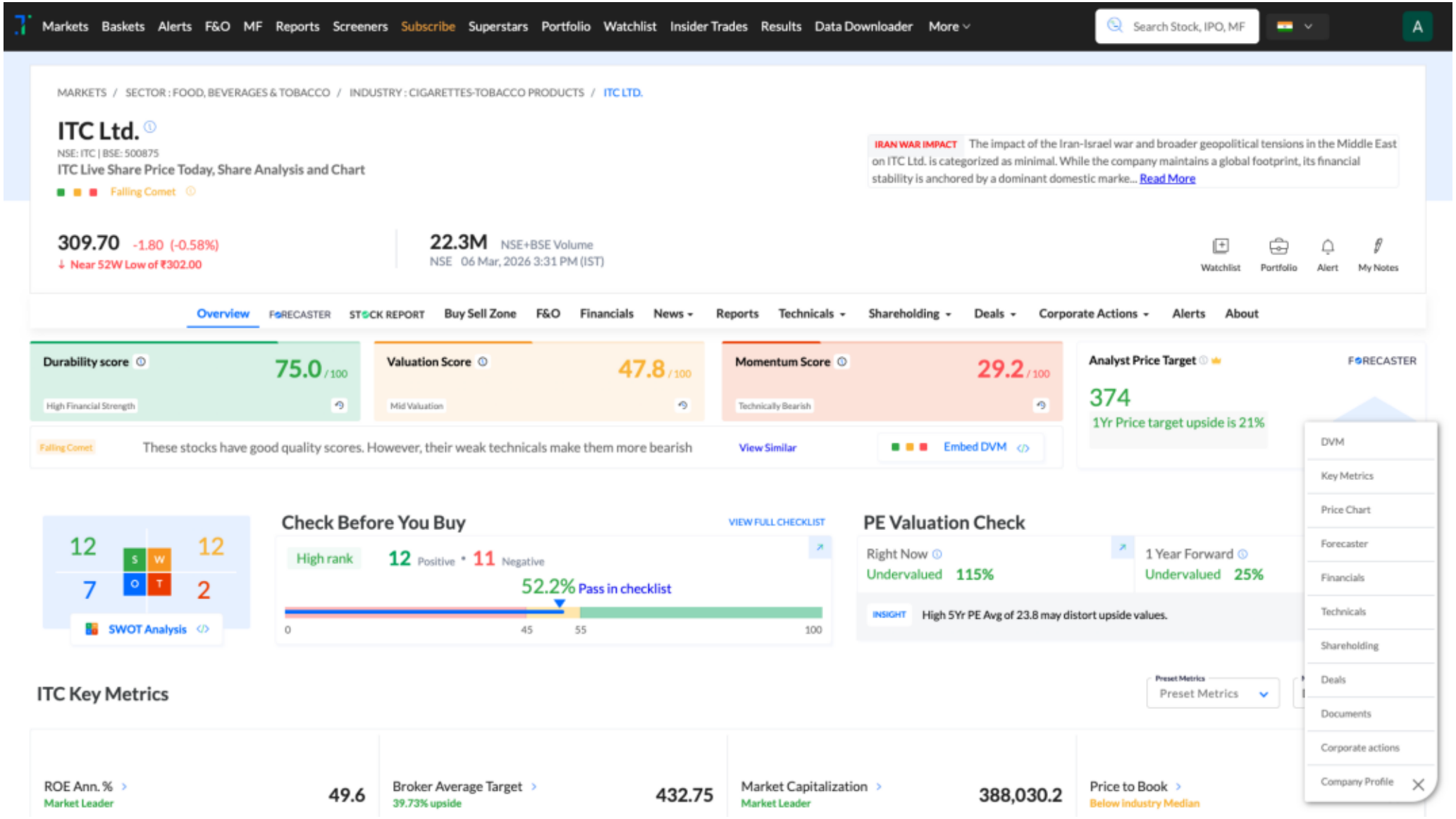
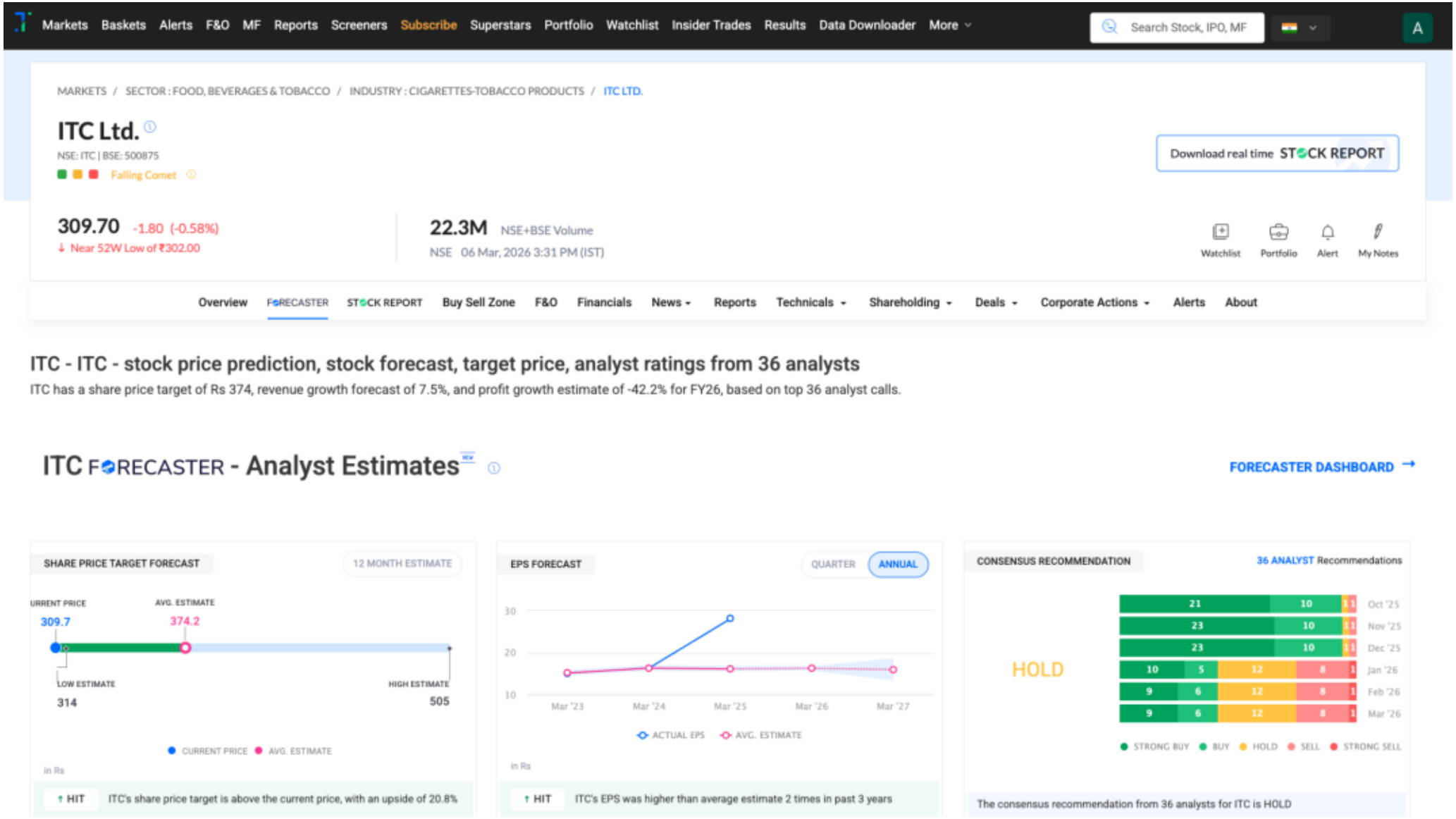
Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Weakening	No Signal
1 Day	**Bearish**	Weakening	Bearish Crossover (Sell)
15 Min	**Bearish**	Strengthening	No Signal

ITC.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
500
400
300
200
2016-03-07
2017-03-06
2018-03-05
2019-03-04
2024-02-26
2025-02-24
2026-02-23


ITC.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
500
450
400
350
300
2024-03-07
2024-05-24
2024-08-05
2024-10-15
2025-10-09
2025-12-19
2026-03-02

ITC.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
340
330
320
310
01-13
01-20
01-23
01-30
02-06
02-12
02-18
02-24
02-27
03-06

Trendlyne Snapshot - ITC_main



Trendlyne Snapshot - ITC_forecaster